by epistolary evidence. In a letter dated June 27, 1935, to Purshotamdas he noted that ‘industrials are booming and the best are eagerly bought at constantly advancing prices. Your two are sound and making great profits.’ Purshotamdas replying on July 8, asked him for advice on whether he should sell his Australian Loan which he had bought in the name of his firm through the Imperial Bank last year. ‘If you think that I should sell that paper, you will ask the Imperial Bank to sell it, and perhaps this letter will serve as your authority for that purpose. I am glad that you think Industrials in England are booming. If you think any of the holdings which I have may be sold, I shall feel obliged if you will ask the Imperial Bank to sell these too.’[75]

In the event, Smith was allowed to return to India for eighteen days. Smith informed Purshotamdas that he would be leaving for Bombay on October 1 and that the deal was that he would be given a gratuity of ₹50,000 and six months leave from October 1 provided the Board recommended them. He wrote: ‘In the meantime, Grigg (no doubt with the connivance of Taylor) is swiping me in the back and endeavouring to create an atmosphere of distrust of me and my supposed operations. He is a dirty scurrilous swine and if I get anything concrete I will go for him.’[76] He also told Purshotamdas how he appreciated his friendship and support and how ‘I wish I could do something before I leave India to support your nationalistic ideals, and perhaps I may.’ In the same letter he made a somewhat startling statement: ‘London loathes Taylor and cannot visualize him as Governor.’ Presumably, Smith meant that Taylor did not have Montagu Norman’s and Otto Niemeyer’s support. Even if this was what he meant, it certainly did nothing to prevent Taylor from succeeding him as Governor.

Smith reached Bombay on October 22 and Shroff ‘met him on the boat.’ He showed Shroff a letter from the Viceroy which had been handed to him under directions from the Governor of Bombay. The letter was very friendly in tone and requested him to visit New Delhi and see the Viceroy on October 25 and to stay at the Viceregal Lodge. Shroff narrated these events to Purshotamdas in a detailed letter dated October 23. He told him that Smith showed considerable bitterness against both Grigg and the Viceroy. He had drafted a note to address the shareholders of the bank and wanted Shroff to arrange for a meeting of the Bombay Shareholders’ Association.